SKELITE TALENT PARTNERS

ESOP Basics Pack

6 assets · Rs 599

Sample pages. The pages that follow are taken unedited from the pack you receive.

WHAT YOU GET

- 6 files: 4 Word guides, 2 working Excel tools
- Written against Companies Act s.62(1)(b) and Rule 12, checked October 2026
- The tax explained honestly, including why employees let options lapse
- Tracker flags any grant that breaks the one year vesting rule
- Dilution model showing what a pool does to your own shareholding

WRITTEN AGAINST THE LAW AS IT STANDS

The four Labour Codes commenced 21 November 2025. Central rules followed in May 2026. Every document states the position it was written against.

SKELITE TALENT PARTNERS

Start Here. ESOP Basics

Pack 10. ESOP Basics | Ref: P10-00

What ESOPs are, what the law requires, and what it costs your people in tax.

READ THIS BEFORE ANYTHING ELSE IN THIS PACK

ESOPs sit where company law, income tax and share valuation meet. More of this pack must be checked by a professional than any other pack in the toolkit.

Use these documents to understand the subject, to plan, and to arrive at your company secretary and chartered accountant already knowing what you want. Do not adopt the scheme document or issue a grant letter without both of them reviewing it for your company.

Getting this wrong is not a paperwork problem. It can mean an invalid grant, a tax demand on an employee who cannot pay it, or a cap table a future investor will not accept.

WHAT IS INSIDE

File	What it is	Who it is for
00	This guide	You
01	ESOP explained, for founders	You, before you decide anything
02	ESOP scheme document, template	Your company secretary and lawyer
03	Grant letter and employee explainer	The employee receiving a grant
04	Grant and vesting tracker	Whoever administers the scheme
05	Pool and dilution model	You and your CFO or CA

THE LAW THIS IS WRITTEN AGAINST

Every statement in this pack was checked against the current position in October 2026 rather than written from recollection. The provisions are:

What	Where it comes from
Authority to issue ESOPs	Companies Act 2013, s.62(1)(b)
The detailed rules	Rule 12, Companies (Share Capital and Debentures) Rules 2014
Who may receive them	Rule 12, and the 2019 Amendment Rules for startups
Tax at exercise	Income-tax, s.17(2)(vi), with TDS under s.192
Valuation for that tax	Rule 3, Income-tax Rules 1962, Category I Merchant Banker
Startup tax deferral	s.192(1C), read with s.80-IAC eligibility

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ESOP Explained, for Founders

Pack 10. ESOP Basics | Ref: P10-01

What you are actually giving away, what the law allows, and what it costs the employee in tax.

Legal position checked 25 October 2026. Confirm it still stands before you rely on it.

WHAT AN ESOP ACTUALLY IS

A right, not a share. You grant an employee the option to buy a fixed number of shares at a fixed price, if they stay long enough to earn that right.

Stage	What happens	Does the employee own shares?
Grant	You give the option. Nothing is owned, nothing is paid.	No
Vesting	Time passes and conditions are met. The right becomes usable.	No
Exercise	The employee pays the exercise price and takes the shares.	Yes, now
Sale	The employee sells, usually at a buyback or an exit.	They get cash

THE SENTENCE MOST FOUNDERS GET WRONG

"I have given him ESOPs worth twenty lakh."

You have not given anything worth twenty lakh. You have given a right to buy, at a price, if certain things happen, in a company whose shares cannot easily be sold. It may become worth a great deal or nothing at all.

Saying it the first way to a candidate is how you end up with someone who feels misled two years later. Say what it is.

WHAT THE LAW REQUIRES

Who can receive options

Category	Eligible?
A permanent employee, in India or abroad	Yes
A director, whole time or part time	Yes
An employee of a subsidiary or holding company	Yes
An independent director	**No**
A promoter or a member of the promoter group	**No**, unless the startup exemption applies
A director holding more than 10 per cent of equity	**No**, unless the startup exemption applies

THE STARTUP EXEMPTION, WHICH IS WHY FOUNDERS CAN SOMETIMES GRANT TO THEMSELVES

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A DPIIT-recognised startup is exempt from the promoter and 10 per cent director exclusions for TEN YEARS from its date of incorporation. The Companies (Share Capital and Debentures) Amendment Rules 2019 raised this from five years to ten.

So a recognised startup within that window can grant options to a founder. Outside it, or without recognition, it cannot. Check your incorporation date and your recognition status before you plan anything that depends on this.

The approvals

Step	What is needed
Board approval	A board resolution approving the scheme
Shareholder approval, public company	Special resolution
Shareholder approval, private company	See the note below
Minimum gap, grant to vesting	**One year.** Rule 12. No exceptions.
Register of options	Form SH-6, maintained from the first grant
Disclosure	In the Board's Report each year

PRIVATE COMPANIES AND THE RESOLUTION QUESTION, HONESTLY PUT

MCA notification G.S.R. 464(E) dated 5 June 2015 exempted private companies, so an ordinary resolution is permitted. But the text of Rule 12 still refers to a special resolution, and that inconsistency has never been tidied up.

Many practitioners therefore pass a special resolution anyway. The cost of doing so is one extra line on a notice. The cost of being wrong is a grant a future investor's diligence can question.

Our view: pass a special resolution unless your company secretary tells you otherwise for a reason you understand. Ask them, and write down what they said.

THE TAX, WHICH IS WHERE THE REAL PAIN IS

Tax hits twice, and the first time is the one that hurts, because the employee pays cash tax on something they cannot yet sell.

When	What is taxed	How
At exercise	FMV on the exercise date, minus what the employee paid	As salary perquisite under s.17(2)(vi). You deduct TDS under s.192.
At sale	Sale price minus the FMV already taxed at exercise	Capital gains. Holding period runs from the date of allotment.

THE PROBLEM TO UNDERSTAND BEFORE YOU DESIGN ANYTHING

At exercise your employee owes real tax, in cash, on paper value. The shares are unlisted. There is no buyer. They cannot sell some to pay the tax.

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